

because prices on the Stock Exchange are ever changing, that the Exchange is able to increase the efficiency with which the savings of our people are employed in industry. Any artificial and uneconomic stabilization of Stock Exchange prices would consequently vitiate one of its most important services in the larger stabilization of all American commerce and industry.

---

*Perhaps the most serious menace to stability in the American investment markets is the very old and very widespread problem of fraudulent securities.*

---

A second important contribution to the cause of business stability made by the Stock Exchange is the steadily increasing public knowledge regarding corporate affairs which it facilitates. For many years the Exchange has led the fight for wider and more complete corporate publicity. Recently the listing requirements of the Stock Exchange have been again expanded and particularized, to embrace foreign government bonds as well as domestic and foreign corporations. One does not realize how far we have all progressed in the dissemination of current and accurate information regarding our leading business companies, until he examines the business information available to the average investor 50 or 60 years ago. The old prospectuses of railroad securities back in that period are very illuminating and curious to us now. The investor used to be told how large the new issue was to be, how many miles of track the company operated, and a few other scattered and inconclusive scraps of information. There were no balance sheets and income statements regularly published. There was no regular and dependable information regarding dividends. Anyone who purchased securities on this basis—even when the securities repre-